

Behavioral Finance

Case study: Eastman Kodak (KODK) – July 2020

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Abstract

This report analyzes the July 2020 Eastman Kodak (KODK) price surge through a behavioral finance lens. Following a major policy-related announcement that Kodak could receive a U.S. government-backed loan to expand into pharmaceutical ingredients, the stock experienced extreme short-run volatility and abnormal trading activity, followed by a sharp reversal and partial stabilization. Using Bloomberg price/volume charts and a structured bias framework, the report evaluates whether the observed market reaction is consistent with fundamentals or better explained by attention shocks, herding, and other cognitive and institutional mechanisms.

1 A. Stock price dynamics (Kodak – KODK US Equity)

1.1 Figures (Bloomberg)

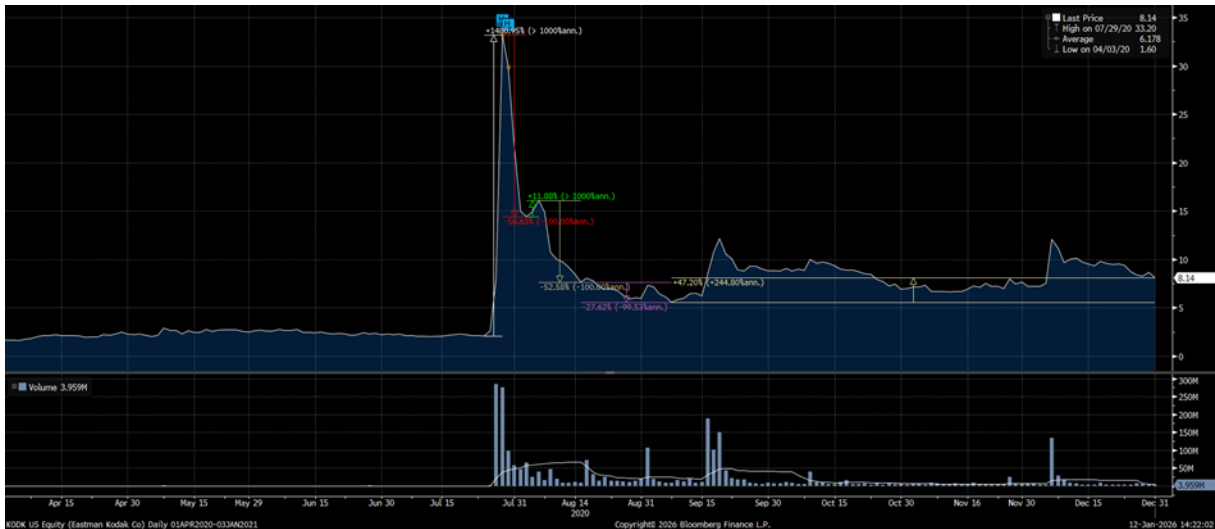


Figure 1: KODK – 2020 context (April–December 2020): price and volume. Source: Bloomberg (screenshot).

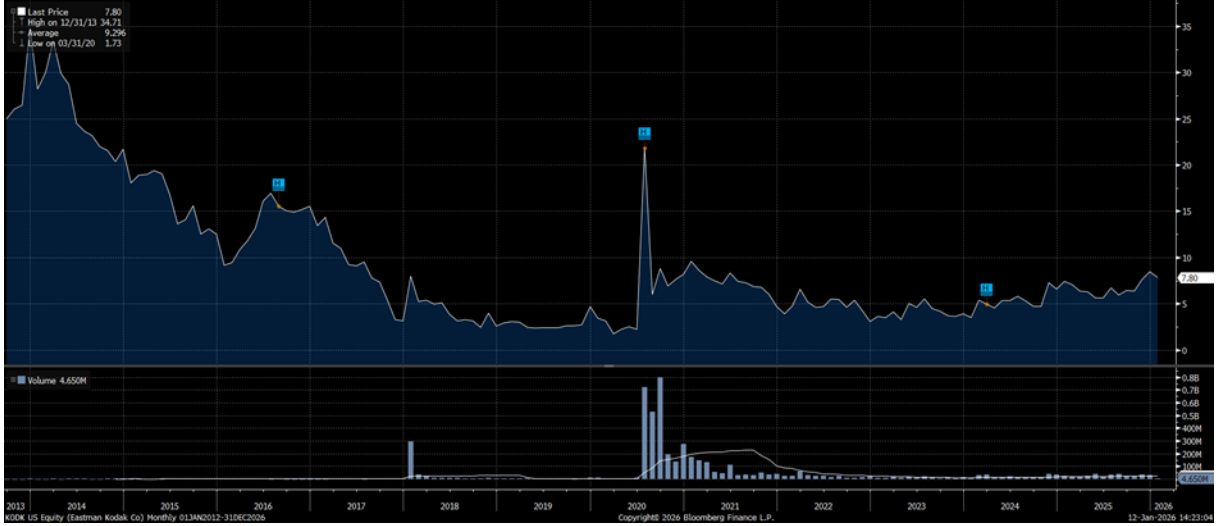


Figure 2: KODK – Long-run context (2013–2026): price and volume. Source: Bloomberg (screenshot).

1.2 Key price levels and returns

From the Bloomberg charts (Figures 1–2) we observe a classic pattern of *news shock + attention spike + reversal*. Around the late-July 2020 event window, the stock records a pre-event low of $P_{\text{low}} = 2.10$ (24/07/2020) and an event peak of $P_{\text{peak}} = 33.20$ (29/07/2020).

Formulas.

$$\Delta P = P_{\text{end}} - P_{\text{start}} \quad (1)$$

$$\Delta\% = \frac{P_{\text{end}} - P_{\text{start}}}{P_{\text{start}}} \times 100 \quad (2)$$

Main price moves (pre–peak–post).

- **Low (24/07/2020) → Peak (29/07/2020):**
 $\Delta P = 33.20 - 2.10 = 31.10$, $\Delta\% = \frac{31.10}{2.10} \times 100 = 1480.95\%$.
- **Peak (29/07/2020) → post-event level (around mid-September 2020):**
 $P_{\text{post}} \approx 5.53$, $\Delta P = 5.53 - 33.20 = -27.67$, $\Delta\% = \frac{-27.67}{33.20} \times 100 = -83.34\%$.
- **Low (24/07/2020) → longer term (chart last price):**
 $P_{\text{last}} \approx 7.80$, $\Delta P = 7.80 - 2.10 = 5.70$, $\Delta\% = \frac{5.70}{2.10} \times 100 = 271.43\%$.
- **Peak (29/07/2020) → longer term (chart last price):**
 $\Delta P = 7.80 - 33.20 = -25.40$, $\Delta\% = \frac{-25.40}{33.20} \times 100 = -76.51\%$.

Point	Date	Price (\$)	ΔP (\$)	$\Delta\%$
Pre-event low	24/07/2020	2.10	–	–
Event peak	29/07/2020	33.20	+31.10 (vs low)	+1480.95% (vs low)
Post-event level	~ mid-Sep 2020	5.53	-27.67 (vs peak)	-83.34% (vs peak)
Longer-term (last)	(chart)	7.80	+5.70 (vs low)	+271.43% (vs low)

Table 1: Key price levels and main moves (Source: Bloomberg screenshots).

1.3 Long-run context: did it recover?

In the longer-run chart (Figure 2), the stock remains far below its pre-2014 levels. For instance, relative to the 31/12/2013 price of about \$34.71 (as shown in the chart), the more recent price reported (about \$7.80) implies a long-run performance of:

$$\Delta\% = \frac{7.80 - 34.71}{34.71} \times 100 \approx -77.53\%.$$

This confirms that the July 2020 spike did not represent a structural recovery back to historical valuations.

At the same time, it is useful to compare the *post-event level* to the *pre-event baseline*. While the stock retraced sharply from the event peak (from \$33.20 down to a longer-term level of roughly \$7.80, i.e., about -76.51% from the peak), it still stabilized *well above* the pre-event low. Using the pre-event low of \$2.10 (24/07/2020), the longer-term price of about \$7.80 corresponds to a gain of approximately $+271.43\%$.

Overall, the evidence suggests an *overshooting and correction* pattern: an extreme attention-driven spike followed by a rapid reversal, ending in stabilization at intermediate prices—higher than the pre-event baseline, but far below the peak and still well below historical levels.

1.4 Short-term vs long-term interpretation

In the **short run**, the event produces an extreme price reaction (spike), with a multi-fold increase in a few days, followed by a rapid **reversal** (more than 80% from peak to the post-event level). In the **long run**, the price does not return to the event peak: it stabilizes above the pre-event low but far below the maximum, which is consistent with a revaluation driven largely by attention, narrative, and speculative flows rather than a permanent shift in fundamentals.

1.5 Volume and volatility

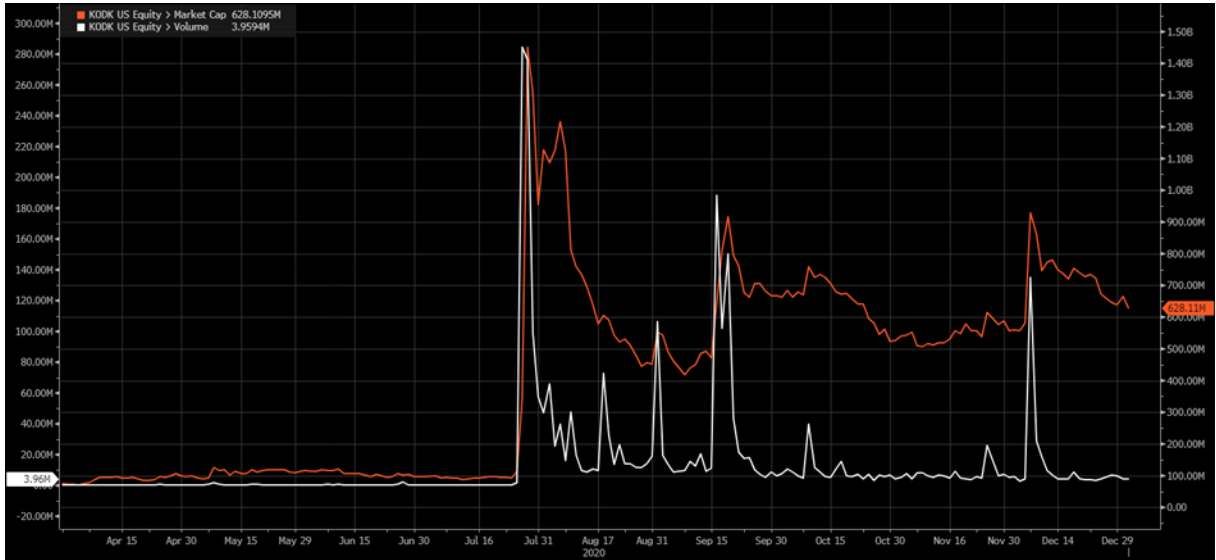


Figure 3: KODK – Market capitalization (orange, right axis) and trading volume (white, left axis) over 2020. Source: Bloomberg (screenshot).

Figure 3 shows that the price spike coincided with extraordinary trading activity: volume surged by an order of magnitude versus the pre-event baseline. Market capitalization jumped sharply during the event window and later retraced, ending the period around $\sim \$628\text{M}$ (chart last value), consistent with an overshooting-and-correction pattern.

2 B. Firm fundamentals and underlying causes

2.1 Firm fundamentals around the event (very brief)

This section briefly checks whether the July 2020 market reaction can be justified by fundamentals. Using Bloomberg accounting panels (Figures 4–6), Kodak's fundamentals around that period appear volatile and weak, and cannot plausibly shift enough in a few days to rationalize a +1480% price move.

Eastman Kodak Co ASC 842 Periods: 10 Annuals Cur FRC (USD)										
11 Key Stats	12 B/G GAAP	13 As Reported	14 Reconciliation	15 SBC & Amort	16 Adj %	17 GAAP %				
In Millions of USD except Per Share	2016 Y	2017 Y	2018 Y	2019 Y	2020 Y	2021 Y	2022 Y	2023 Y	2024 Y	Last 12M
12 Months Ending	12/31/2016	12/31/2017	12/31/2018	12/31/2019	12/31/2020	12/31/2021	12/31/2022	12/31/2023	12/31/2024	09/30/2025
Net Income, GAAP	15.0	94.0	-16.0	116.0	-541.0	24.0	26.0	75.0	102.0	6.0
- Preferred Dividends	0.0	11.0	11.0	11.0	11.0	11.0	11.0	11.0	12.0	26.0
- Other Adjustments	0.0	8.0	9.0	9.0	-9.0	3.0	0.0	8.0	12.0	0.0
Net Income Avail to Common, GAAP	15.0	75.0	-36.0	96.0	-543.0	10.0	15.0	56.0	78.0	-20.0
Net Income Avail to Common, Adj	49.5	144.3	-19.5	-73.9	-527.8	-5.0	27.6	86.0	71.7	25.8
Net Abnormal Losses (Gains)	32.5	70.3	9.5	37.1	18.2	-15.0	12.6	30.0	-6.3	45.8
Net Extraordinary Losses (Gains)	2.0	-1.0	7.0	-207.0	-3.0	0.0	0.0	0.0	0.0	0.0
Basic Weighted Avg Shares	42.2	42.5	42.7	43.0	55.6	78.4	78.9	79.4	80.1	89.8
Basic EPS, GAAP	0.36	1.76	-0.84	2.23	-9.77	0.13	0.19	0.71	0.97	-0.24
Basic EPS from Cont Ops, GAAP	0.40	1.74	-0.68	-2.58	-9.83	0.13	0.19	0.71	0.97	-0.24
Basic EPS from Cont Ops, Adjusted	1.17	3.40	-0.46	-1.72	-9.50	-0.06	0.35	1.08	0.89	0.33
Diluted Weighted Avg Shares	42.5	42.7	42.7	43.0	55.6	80.5	80.6	90.5	92.3	89.8
Diluted EPS, GAAP	0.35	1.76	-0.84	2.23	-9.77	0.12	0.19	0.62	0.85	-0.24
Diluted EPS from Cont Ops, GAAP	0.40	1.74	-0.68	-2.58	-9.83	0.12	0.19	0.62	0.85	-0.24
Diluted EPS from Cont Ops, Adjusted	1.16	3.39	-0.46	-1.72	-9.50	-0.06	0.34	0.95	0.78	0.33
Reference Items										
Accounting Standard	US GAAP	US GAAP	US GAAP	US GAAP	US GAAP	US GAAP	US GAAP	US GAAP	US GAAP	
EBITDA	266.0	-12.0	-33.0	29.0	9.0	-10.0	35.0	62.0	32.0	66.0
EBITDA Margin (T12M)	16.19	-0.87	-2.50	2.33	0.87	-0.87	2.90	5.55	3.07	6.32
EBITA	180.0	-72.0	-92.0	-19.0	-23.0	-36.0	11.0	36.0	8.0	
EBIT	161.0	-92.0	-106.0	-51.0	-49.0	-60.0	-11.0	16.0	-12.0	31.0
Gross Margin	24.53	15.22	13.64	14.65	13.12	14.26	14.11	18.80	19.46	20.67
Operating Margin	9.80	-6.64	-8.03	-4.11	-4.76	-5.22	-0.91	1.43	-1.15	2.97
Profit Margin	3.01	11.78	0.04	-4.34	-51.10	0.78	3.21	9.40	9.17	4.96
Sales per Employee	269,344.26	238,965.52	244,444.44	252,336.45	228,666.67	273,809.52	286,904.76	279,250.00	267,435.90	
Dividends per Share	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Total Cash Common Dividends	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Capitalized Interest Expense	-	-	-	-	-	-	-	-	-	-
Depreciation Expense	86.0	60.0	59.0	48.0	32.0	26.0	24.0	26.0	24.0	
Rental Expense	26.0	23.0	21.0	35.0	30.0	28.0	24.0	23.0	23.0	11.0

Figure 4: KODK fundamentals: Net income, EPS and profitability panel (GAAP). Source: Bloomberg (screenshot).

KODK US \$ Market K7.75 / 7.90P 100 x 500												
Prev 7.80 Vol 1,043												
KODK US Equity 90 Actions 97 Export 98 Settings												
Eastman Kodak Co ASC 842 2 Periods 10 Annuals Cur FRC (USD)												
Key Stats 1/5 B/S C/F Ratios Segments Add ESG Custom Shared												
Profitability Growth Credit Credit Ex Operating Leases Liquidity Working Capital Yield Analysis DuPont Analysis												
In Millions of USD except Per Share	2015 Y	2016 Y	2017 Y	2018 Y	2019 Y~	2020 Y	2021 Y	2022 Y	2023 Y	2024 Y		
12 Months Ending	12/31/2015	12/31/2016	12/31/2017	12/31/2018	12/31/2019	12/31/2020	12/31/2021	12/31/2022	12/31/2023	12/31/2024		
Cash Ratio	1.19	1.04	0.82	0.30	0.63	0.66	1.17	0.74	0.90	0.77		
Current Ratio	2.78	2.49	2.29	1.17	1.92	2.12	2.61	2.32	2.52	2.28		
Quick Ratio	1.88	1.71	1.42	0.60	1.20	1.26	1.74	1.34	1.59	1.30		
CF0/Avg Current Liab	-0.18	-0.03	-0.16	-0.10	0.02	-0.11	-0.16	-0.39	0.13	-0.03		
Common Equity/Total Assets	3.65	-6.59	1.23	-1.99	5.72	5.45	35.79	44.38	39.53	31.93		
Long-Term Debt/Equity	655.34	487.95	180.54	2.94	55.87	24.63	30.50	27.89	42.16	56.69		
Long-Term Debt/Capital	86.21	81.98	63.94	0.88	34.66	18.91	23.10	21.58	29.40	35.86		
Long-Term Debt/Total Assets	31.57	22.80	23.37	0.33	11.10	5.29	13.73	15.19	20.42	24.34		
Total Debt/Equity	660.19	495.18	182.35	235.88	61.21	30.22	32.04	29.26	43.38	58.09		
Total Debt/Capital	86.85	83.20	64.58	70.23	37.97	23.21	24.26	22.64	30.26	36.75		
Total Debt/Total Assets	31.81	23.14	23.61	26.56	12.16	6.49	14.42	15.93	21.02	24.94		
CF0/Total Liabilities	-4.67	-0.89	-4.51	-4.63	1.06	-3.57	-3.94	-11.14	3.13	-0.61		
CF0/CapEx	-2.21	-0.37	-1.76	-1.88	0.80	-2.06	-2.24	-3.74	1.19	-0.13		
Altman's Z-Score	1.51	1.76	1.23	0.61	0.99	0.65	0.54	0.49	0.56	0.72		
Total Line of Credit	200.0	150.0	96.0	150.0	120.0	120.0	120.0	120.0	90.0	90.0		
Total Available Line Of Credit	16.0	20.0	20.0	65.0	40.0	70.0	0.0	0.0	0.0	0.0		
Total Credit Lines Drawn	118.0	116.0	76.0	85.0	80.0	50.0	120.0	120.0	90.0	90.0		

Figure 5: KODK fundamentals: Liquidity ratios (cash ratio, current ratio, quick ratio). Source: Bloomberg (screenshot).

Eastman Kodak Co ASC 842 2 Periods 10 Annuals Cur FRC (USD)												
Key Stats 1/5 B/S C/F Ratios Segments Add ESG Custom Shared												
Profitability Growth Credit Credit Ex Operating Leases Liquidity Working Capital Yield Analysis DuPont Analysis												
In Millions of USD except Per Share	2015 Y	2016 Y	2017 Y	2018 Y	2019 Y~	2020 Y	2021 Y	2022 Y	2023 Y	2024 Y		
12 Months Ending	12/31/2015	12/31/2016	12/31/2017	12/31/2018	12/31/2019	12/31/2020	12/31/2021	12/31/2022	12/31/2023	12/31/2024		
Long Term Debt	675.0	405.0	399.0	5.0	157.0	66.0	298.0	347.0	481.0	487.0		
Total Debt/T12M EBITDA	3.42	1.89	—	—	—	—	78.25	18.20	9.90	13.49		
Net Debt/EBITDA	0.67	-0.11	—	—	—	—	-12.25	7.35	4.80	8.05		
Total Debt/EBIT	12.59	3.64	—	—	—	—	—	—	52.18	—		
Net Debt/EBIT	2.46	-0.20	—	—	—	—	—	—	25.30	—		
EBITDA to Interest Expense	3.16	3.63	-15.88	-5.00	-1.38	-1.33	0.12	0.50	0.96	0.63		
EBITDA-CapEx/Interest Expense	2.48	2.95	-20.63	-8.67	-2.31	-2.75	-0.52	-0.28	0.35	-0.32		
EBIT to Interest Expense	0.86	1.88	-25.88	-13.11	-6.38	-6.17	-1.39	-0.65	0.08	-0.12		
EBITDA/Cash Interest Paid	3.32	3.76	-4.10	-1.61	-1.05	-2.00	0.29	0.87	1.92	1.19		
EBITDA-CapEx/Cash Interest Paid	2.60	3.05	-5.32	-2.79	-1.76	-4.13	-1.21	-0.48	0.69	-0.61		
EBIT/Cash Interest Paid	0.90	1.95	-6.68	-4.21	-4.86	-9.25	-3.29	-1.13	0.15	-0.23		
Cash Interest Paid	60.0	58.0	31.0	28.0	21.0	8.0	14.0	23.0	26.0	31.0		
Interest Expense	63.0	60.0	8.0	9.0	16.0	12.0	33.0	40.0	52.0	59.0		
Common Equity/Total Assets	3.65	-6.59	1.23	-1.99	5.72	5.45	35.79	44.38	39.53	31.93		
Long-Term Debt/Equity	655.34	487.95	180.54	2.94	55.87	24.63	30.50	27.89	42.16	56.69		
Long-Term Debt/Capital	86.21	81.98	63.94	0.88	34.66	18.91	23.10	21.58	29.40	35.86		
Long-Term Debt/Total Assets	31.57	22.80	23.37	0.33	11.10	5.29	13.73	15.19	20.42	24.34		
Total Debt/Equity	660.19	495.18	182.35	235.88	61.21	30.22	32.04	29.26	43.38	58.09		
Total Debt/Capital	86.85	83.20	64.58	70.23	37.97	23.21	24.26	22.64	30.26	36.75		
Total Debt/Total Assets	31.81	23.14	23.61	26.56	12.16	6.49	14.42	15.93	21.02	24.94		
Net Debt/Equity	129.13	-27.71	27.15	98.82	-21.71	-42.91	-5.02	11.82	21.03	34.69		
Net Debt/Capital	56.36	-38.33	21.35	49.70	-27.73	-75.16	-5.28	10.57	17.38	25.76		
EBITDA	199.0	218.0	-127.0	-45.0	-22.0	-16.0	4.0	20.0	50.0	37.0		
EBITDA-CapEx	156.0	177.0	-165.0	-78.0	-37.0	-33.0	-17.0	-11.0	18.0	-19.0		
EBIT	54.0	113.0	-207.0	-118.0	-102.0	-74.0	-46.0	-26.0	4.0	-7.0		

Figure 6: KODK fundamentals: Credit and leverage indicators (debt, debt ratios, coverage metrics). Source: Bloomberg (screenshot).

Was the market price “worth it”? Fundamentals (earnings, leverage, liquidity) evolve on quarterly/annual horizons, not within 2–3 trading sessions. Therefore, the event peak price (Figure 1) is unlikely to reflect a fully fundamentals-based revaluation. Instead, it is more consistent with a temporary pricing dislocation driven by uncertainty, narrative dominance, and investor attention.

2.2 Internal and external triggers: what caused the price changes? (timeline)

The price spike appears to be triggered by a highly salient external policy-related news shock: reports and headlines suggesting Kodak could receive a U.S. government-backed loan to expand into pharmaceutical ingredients. The subsequent reversal aligns with follow-up negative headlines (investigations, allegations of wrongdoing, and a pause of the loan process), which increased uncertainty and weakened the narrative.

	source	title	tags	BKM date	creation date
1	News	Kodak Shares Plunge After U.S. Pauses Loan Until 'allegations of wrongdoing' Are Resolved		01/12/26	08/10/20
2	News	Investor Alert: Kaplan Fox Investigates Potential Insider Trading And Securities Fraud At Eastman Kodak Co.		01/12/26	08/05/20
3	News	Kodak's \$765 million government loan is being investigated by House Democrats after Elizabeth Warren urges...		01/12/26	08/05/20
4	News	Market Chatter: Eastman Kodak Executive Chairman Reportedly Received Options Based on 'Understanding' w...		01/12/26	08/03/20
5	News	Kodak Stock's Rally Destroys Short Sellers. They're Down \$50 Million. -- Barrons.com		01/12/26	07/29/20
6	News	Robinhood Daytraders Stampede Into Kodak as Stock Soars (1)		01/12/26	07/29/20
7	News	Market Chatter: Eastman Kodak Reportedly Shifting to Drug Ingredients Production with \$765 Million US Loan; ...		01/12/26	07/28/20
8	News	Kodak Will Help Make Medicines to Fight Covid (Video)		01/12/26	07/28/20
9	News	The United States will lend Kodak \$765 million to make drug components.		01/12/26	07/28/20
10	News	*TRUMP CONGRATULATES KODAK ON DEAL WITH U.S.		01/12/26	07/28/20

Figure 7: Bloomberg news list related to KODK during/after the event window. Source: Bloomberg (screenshot).

Timeline (illustrative). Table 2 summarizes the sequence suggested by the Bloomberg headline list (Figure 7). This mapping is useful to connect *information arrival* to *price dynamics* (spike then reversal).

Date	Headline / information	Tone
28/07/2020	U.S. to lend Kodak \$765m / Kodak helps make medicines to fight Covid / shift to drug ingredients production	Positive
29/07/2020	Retail/attention coverage (e.g., Robinhood daytraders; short-seller squeeze narratives)	Amplifying
03–05/08/2020	Reports of investigations / insider trading concerns / options-related controversies (headline cluster)	Negative
10/08/2020	Loan paused pending “allegations of wrongdoing” resolution; stock plunges (headline)	Negative

Table 2: Illustrative event timeline built from Bloomberg headline list (Figure 7).

Was it a black swan? The event is not a pure “black swan” in the strict sense (an unforeseeable catastrophe). Instead, it resembles a *tail* or *rare* attention-driven shock: a politically salient, high-uncertainty announcement produced a sudden reframing of Kodak’s prospects (strategic pivot narrative), followed by rapid narrative reversal when adverse information surfaced.

2.3 News and social media interaction: attention, sentiment, amplification

The assignment requires evaluating whether media and social coverage amplified the price dynamics.



Figure 8: KODK price with Twitter publication count and sentiment around the event. Source: Bloomberg (screenshot).

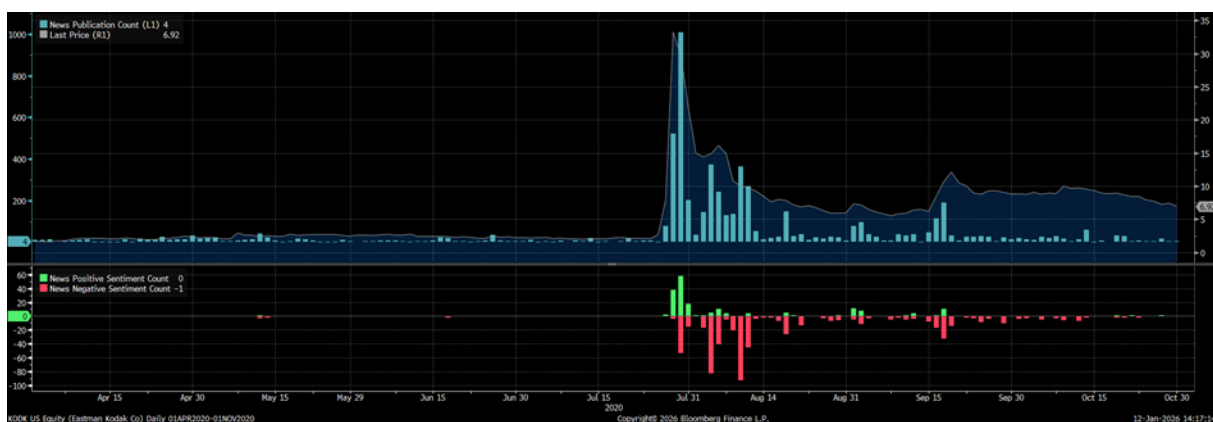


Figure 9: News/media coverage indicator around the event window (overall news attention). Source: Bloomberg (screenshot).

How many news? How many tweets? Sentiment?

- **News flow (headlines + overall coverage):** the Bloomberg headline list (Figure 7) shows a tight cluster of major items around late July and early August, with an initial positive narrative (government-backed loan / strategic pivot) followed by negative follow-ups (investigations, alleged wrongdoing, loan pause). Consistently, the overall news publication count (Figure 9) spikes sharply during the event window, reaching close to the top of the plotted range (approximately *up to* $\sim 1,000$ on the left axis) before decaying back to low levels.
- **Tweets / social attention:** Twitter publication count (Figure 8) peaks exactly during the price spike, rising to nearly the top of the plotted range (approximately *up to* $\sim 30,000$ on the left axis). After the event window, Twitter activity drops rapidly and returns close to baseline levels (the chart later reports values in the low hundreds), indicating that the surge was concentrated in a short attention shock.
- **Sentiment:** sentiment becomes unstable around the event. At the peak, there is a pronounced positive burst (green bars), followed by larger negative swings (red bars) as adverse information accumulates (Figures 8 and 9). This pattern is consistent with a fast narrative reversal and heightened uncertainty after the initial announcement.

Did coverage amplify the variations? Yes. The timing of both attention proxies suggests amplification: the peak in social attention (Twitter) and the spike in overall news coverage coincide with the largest price jump and the abnormal trading activity observed during the event window (see Part A volume/market-cap evidence).

3 C. Impacts of biases on investors' behavior

3.1 Which biases influenced investors the most? (most relevant)

The Kodak episode shows a textbook *attention-driven* dynamic: a salient narrative triggered a rapid influx of short-horizon traders, followed by an abrupt reversal once the narrative deteriorated. Consistent with the price/volume spike (Part A) and the attention proxies in Figures 8 and 9, the most influential biases appear to be:

- **Availability bias (cognitive):** highly salient headlines (government-backed loan; “Covid medicines”) became top-of-mind, crowding out slower-moving fundamental information.
- **Framing effect (cognitive):** the news was framed as a strategic pivot into a “hot” sector (pharma/Covid), increasing perceived upside despite weak/volatile fundamentals (Part B).
- **Representativeness bias (cognitive):** investors extrapolated a *turnaround story* (“Kodak becomes a pharma player”) from a single event, treating the firm as if it were now comparable to successful pharma beneficiaries.
- **Herding / false consensus (cognitive):** traders inferred that “everyone is buying” from rapid price increases and high visibility on platforms, reinforcing trend-chasing behavior.
- **Overconfidence and optimism (emotional):** short-term traders overestimated their ability to time entry/exit and overweighted the best-case scenario, contributing to aggressive buying at elevated prices.
- **Regret aversion / present-time bias (emotional):** fear of missing out (FOMO) encouraged immediate action, prioritizing short-term excitement over careful valuation.

3.2 Bias classification and mechanisms (GameStop-style analysis)

Table 3 summarizes the key biases using the cognitive vs emotional classification discussed in class. The goal is to link: (i) the bias mechanism, (ii) the observable evidence in your Bloomberg charts, and (iii) the direction of amplification.

3.3 How did biases amplify price variations? Positively and negatively

Biases amplified variations in **both directions**:

Positive amplification (upward overshoot). During the initial announcement window, attention and narrative strength produced a feedback loop: *salient news* → *social/media attention* → *increased participation and buying* → *price rises* → *more attention*. Availability, framing, authority, representativeness, and overconfidence all increase the probability of *trend-chasing* and *overreaction*. This is consistent with the simultaneous spike in attention proxies (Figures 8, 9) and trading activity/valuation (Part A; Figure 3).

Negative amplification (downward reversal and volatility). Once adverse headlines emerged (investigations, alleged wrongdoing, loan pause; Figure 7), the narrative flipped quickly. The same attention channels that boosted the rally also accelerated the reversal: negative framing became more available than the original upside story, triggering rapid selling and higher volatility. In short, biases contributed to *overshooting* on the way up and *overshooting* on the way down, before the price stabilized at intermediate levels.

Bottom line. Overall, the Kodak episode fits an *attention-driven behavioral cycle*: biased belief updating and emotionally charged trading amplified the impact of news, creating an extreme short-run price dislocation followed by correction.

4 D. Analysis and comparison to GameStop

4.1 Rational vs irrational drivers: fundamentals, speculation, or both?

The Kodak price dynamics were driven by **both** rational and irrational elements, but the **magnitude and speed** of the move suggest that *irrational/behavioral channels* dominated in the short run.

Rational component. The initial announcement (government-backed loan and potential pivot toward pharmaceutical ingredients) can rationally increase the firm’s *option value*: a new business line and government support may improve expected future cash flows under optimistic scenarios. Hence, some re-pricing upward is plausible.

Behavioral/speculative component. However, contemporaneous fundamentals (Part B) could not change materially within a few trading sessions, making a +1480% spike unlikely to be fully justified by valuation alone. The evidence points to a temporary pricing dislocation fueled by *attention shocks*, *herding*, *overconfidence*, and *feedback trading*, amplified by social/news coverage (Part B and Part C). The subsequent sharp reversal when negative follow-up news emerged reinforces the interpretation of *overshooting and correction*.

4.2 Key lessons for investors

The Kodak episode provides several practical lessons:

- **Separate narrative from fundamentals.** Salient headlines can create a compelling story, but valuation should still anchor on realistic cash-flow and execution assumptions.
- **Attention is not information.** Spikes in news/social volume often signal crowded positioning and higher crash risk, not necessarily higher value.
- **Beware of short-horizon dynamics.** When prices move extremely fast, microstructure effects (liquidity, momentum traders, retail flows) can dominate fundamentals.
- **Reversals are common after attention-driven spikes.** Extreme upside moves often contain a transitory component that tends to mean-revert once uncertainty resolves or new information arrives.

4.3 How to mitigate biases: behaviors and strategies

Investors could mitigate bias-driven mispricing using simple rules and risk controls:

- **Pre-commitment rules.** Define entry/exit criteria in advance (target price, stop-loss, maximum holding period) to limit FOMO and regret aversion.

- **Checklists and “base-rate” thinking.** Force a quick fundamental sanity check (profitability, leverage, liquidity, execution constraints) and compare with historical base rates for successful strategic pivots.
- **Position sizing and volatility controls.** Reduce exposure when volatility/attention proxies spike; cap risk per trade and avoid leverage in hype phases.
- **Wait for confirmation.** For event-driven trades, delay action until the information is verified and key uncertainties are clarified (e.g., regulatory approval, contract details, investigations).
- **Diversification and scenario analysis.** Treat highly uncertain announcements as option-like bets: small size, multiple scenarios, and asymmetric risk awareness.

4.4 Comparison to GameStop: similarities and differences

Kodak and GameStop share important similarities, but they also differ in underlying mechanisms.

Similarities.

- **Attention-driven dynamics:** both events feature sharp increases in attention (media/social) coinciding with extreme price movements.
- **Behavioral biases:** herding, availability, representativeness, overconfidence, and FOMO contribute to participation and volatility.
- **Feedback loops:** price increases attract more attention and buying, reinforcing momentum in the short run.

Differences.

- **Underlying cause:** Kodak was primarily a *policy/news shock* (government-backed loan + pivot narrative), whereas GameStop was strongly linked to *crowded short interest*, the *short squeeze* mechanism, and coordinated retail behavior.
- **Role of platforms:** in GameStop, retail platforms (notably Robinhood) and social forums played a central role in mobilization and coordination. In Kodak, social/media attention appears more as an *amplifier* of a news shock rather than the primary strategic driver.
- **Amplitude and persistence:** while both show overshooting, the post-event stabilization patterns differ: Kodak corrected sharply and stabilized at intermediate levels, consistent with narrative decay; GameStop exhibited more prolonged episodes tied to repeated waves of retail attention and market positioning dynamics.

Conclusion. Overall, Kodak resembles an *attention-and-narrative shock* episode, while GameStop is closer to a *market structure event* where behavioral forces interacted with short interest, options, and trading constraints. In both cases, however, investor biases and attention significantly contributed to amplifying price volatility.

Bias	Type	How it affects behavior (mechanism)	Evidence / expected effect
Availability bias	Cognitive	Salient, repeated headlines dominate attention; investors overweight the most visible information and underweight fundamentals.	News cluster (Figure 7); attention spikes in Twitter/news (Figures 8, 9); <i>amplifies buying pressure in the spike.</i>
Framing effect	Cognitive	Same information framed as “national priority” / “Covid medicines” increases perceived upside and urgency.	Positive framing in late July headlines (Figure 7); <i>pushes valuations above fundamentals.</i>
Representativeness bias	Cognitive	Investors extrapolate a new identity (“Kodak as pharma player”) from one event, ignoring base rates and execution risk.	Extreme re-rating not justified by fundamentals (Part B); <i>supports overshooting.</i>
Confirmation bias	Cognitive	Traders selectively search for supportive signals (social posts, bullish headlines) and discount warnings.	Sustained attention after the first jump (Figures 8, 9); <i>delays correction.</i>
Authority bias	Cognitive	Government-related announcements are perceived as credible “validation”, increasing perceived certainty.	Government-backed loan narrative (Figure 7); <i>strengthens initial reaction.</i>
Recency bias	Cognitive	Recent price increases are extrapolated into the near future; trend-chasing accelerates.	Parabolic price path + volume burst (Part A; Figure 3); <i>reinforces momentum.</i>
Overconfidence bias	Emotional	Traders overestimate skill and their ability to exit in time; leverage/large bets become more likely.	High turnover and rapid in/out trading implied by activity spike (Part A); <i>increases volatility.</i>
Optimism bias	Emotional	Investors overweight best-case outcomes (successful pivot, large profits) and underweight downside risks (execution/regulatory).	Peak valuation inconsistent with contemporaneous fundamentals (Part B); <i>amplifies upside overshoot.</i>
Regret aversion / present-time bias	Emotional	FOMO: preference for acting now to avoid regret from “missing the run”.	Attention spikes coincide with the price peak (Figures 8, 9); <i>accelerates late buying.</i>